

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 21-04

GREATWAY LOGISTICS GROUP, LLC.

v.

OCEAN NETWORK EXPRESS PTE. LTD.

**BUREAU OF ENFORCEMENT'S
MOTION FOR LEAVE TO INTERVENE**

Pursuant to Rule 68(c)(2)(ii) of the Commission's Rules of Practice and Procedure, 46 C.F.R. 502.68(c)(2)(ii), the Bureau of Enforcement (BOE) files this motion for leave to intervene in this proceeding. In support thereof, BOE states as follows:

By Verified Complaint filed May 25, 2021, Greatway Logistics Group, LLC (Greatway or Complainant), a Florida limited liability company, alleges that Respondent Ocean Network Express Pte. Ltd. (ONE or Respondent), a vessel-operating common carrier (VOCC), violated 46 U.S.C. §§ 41102(c) and 41104(a). The alleged violations stem from Respondent's efforts to collect demurrage and storage fees from Complainant, a non-party to two of Respondent's bills of lading. Upon information and belief, Complainant was listed as the Notify Party on one bill of lading and did not appear anywhere on the other. Upon information and belief, Complainant's role with respect to these two shipments was serving solely as the notify party and arranging customs clearance for the U.S. consignee. Respondent invoiced and demanded that the U.S. consignee, but

never Greatway, pay the demurrage and storage charges prior to ONE's filing its lawsuit in Houston, Texas. The suit in the U.S. District Court, Southern District of Texas, targeted the shippers, consignees, and other parties responsible for the transportation. ONE also sued Greatway, even though Greatway was merely a notify party with no interest in the cargo, or responsibility for payment of the demurrage and storage charges.

Complainant alleges that Respondent's efforts to collect demurrage and storage from Complainant is unfair, unreasonable, and discriminatory in violation of 46 U.S.C. § 41102(c), 46 C.F.R. § 545.4(d), and 46 U.S.C. § 41104(a)(4)(E) given that Complainant was simply the agent of a disclosed principal, acting only as a notify party to arrange for customs clearance by a licensed customs broker for the principal, and did not have a contractual relationship with Respondent. Consequently, Complainant has requested an award of reparations, interest, and attorney fees, plus the issuance of a cease and desist order and the assessment of civil penalties.

Discussion

The presiding officer may permit BOE to intervene upon a showing that BOE's expertise is relevant to one or more issues involved in the proceeding and may assist in the consideration of those issues. 46 C.F.R. §502.68(c)(2)(ii). This proceeding involves alleged violations of the Shipping Act which, if proven, are serious, novel, and have potential widespread consequences. The complaint alleges that Respondent's efforts to collect demurrage and storage charges from Complainant while acting on behalf of a disclosed principal as a notify party, but who was not a party to the bills of lading, is unjust, unreasonable, and discriminatory. If the facts alleged are proven, BOE would align itself with Complainant's position that Respondent has violated the Shipping Act by engaging in practices that are unfair or unjustly discriminatory, and that by

employing the same has failed to establish, observe, and enforce just and reasonable regulations and practices.

Upon information and belief, other shippers have likewise been subjected to the same or similar practices by Respondent. If Complainant's allegations are proven and are coupled with similar experiences of other parties, such a pattern of behavior reflects serious violations of the Shipping Act that should be addressed by BOE, and which warrant its participation in this proceeding. BOE's expertise will facilitate this proceeding. Its litigation experience with respect to Shipping Act violations and its institutional knowledge and background will benefit the ALJ's consideration of the case. BOE's interest and experience will not only assist in developing the factual record but will also assist in evaluating the gravity of the alleged violations.

BOE's role will also help ensure that the Respondent's collection efforts are correctly assessed with respect to the application of the Shipping Act and the Commission's regulations. In particular, BOE will assist in elucidating whether or not Respondent's actions constitute its normal, customary, and continuous practices pursuant to 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4(d), and that the implications of all legal arguments will be thoroughly vetted for the presiding ALJ's consideration, even if not fully addressed by the Complainant. BOE does not contemplate addressing the request for reparations or the measure of Complainant's damages but intends to focus its participation on the lawfulness of Respondent's collection efforts against not only the Complainant but other parties as well. The Commission issued an interpretive rule addressing and more fully developing its views with respect to the prohibitions embodied in 46 U.S.C. § 41102(c) governing the failure to establish, observe and enforce just and reasonable regulations and practices. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (Dec. 17, 2018). Recent decisions following this interpretive rule include *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight International Inc.*, 2 F.M.C. 2d 168 (FMC 2020) and *Crocus Investments, LLC v. Marine*

Transport Logistics, Inc., 2 F.M.C. 2d 213 (ALJ 2020). For a fulsome discussion of Commission case law on 46 U.S.C. § 41102(c) prior to issuance of the interpretive rule see, e.g., *Yakov Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R.1720 (FMC 2013); *Century Metal Recycling Pvt. Ltd. v. Dacon Logistics LLC*, 33 S.R.R. 17 (FMC 2013); *Petra Pet, Inc. v. Panda Logistics Ltd.*, 33 S.R.R. 4 (FMC 2013); *Smart Garments v. Worldlink Logix Services, Inc.*, 33 S.R.R. 65 (FMC 2013); *Bimsha International v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861 (2013), pet. for review denied October 2, 2014, by Summary Order in No. 13-4256; *Chief Cargo Services, Inc. v. Federal Maritime Commission*, (2nd Cir. 2014).

According to the complaint, Respondent's practices and 46 U.S.C. § 41102(c) will be central to this case. Due to the Commission's evolving body of case law, resolution of this issue will likely have ramifications reaching beyond this particular dispute. As the Commission's enforcement component representing the public interest, it is BOE's intent to assist in the development of the record with respect to Respondent's practices from a broader perspective than may be expected from the private litigants to the dispute.

BOE seeks to participate fully as a party to this proceeding to include discovery, examination of witnesses, presentation of evidence, and submission of briefs. BOE's participation and perspective, however, will not unduly delay this proceeding. Development of facts and issues in this proceeding will take place within the same discovery and briefing limitations as applicable without BOE's participation. Similarly, the parties' adjudicative rights will not be prejudiced by BOE's participation as a party.

In 2012, the Commission amended its Rules of Practice and Procedure to update and clarify the rules and also reduce the burden on parties to proceedings. Docket No. 11-05, *Rules of Practice and Procedure*, 77 FR 61519 (Oct. 10, 2012). The requirements for intervention were

“modernized” and revised to afford BOE and other government agencies a designated status for intervening in Commission proceeding with a specified standard for their intervention. *Id.*, 61522. Under the prior rule, the Commission tended to interpret intervention rules liberally. *Trans-Atlantic Agreement and Its Members – Independent Action*, 27 S.R.R. 16, 17 (ALJ 1995). BOE submits that the 2012 amendments to Rule 68 reflect an intent to further liberalize the standard for BOE’s intervention. As noted in *Trans-Atlantic, supra*, the courts have urged administrative agencies to allow interventions liberally especially in cases that have widespread consequences. *Id.* If Complainant’s allegations are proven, this proceeding may have wide reaching consequences.

For the foregoing reasons, BOE hereby requests leave to intervene as a party to this proceeding and to participate fully in all phases of this proceeding.

Respectfully submitted,

CORRIN CINQUE Digitally signed by CORRIN
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Date: 2021.06.11 15:23:37 -04'00'

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June 11, 2021

Certificate of Service

I hereby certify that on this 11th day of June, 2021, the foregoing BOE Motion to Intervene has been served upon counsel for the Complainant Greatway Logistics Group, LLC. by electronic mail to Shannon Liang at sliang@customscourt.com, and upon Respondent Ocean Network Express PTE. LTD. by electronic mail to NA.Legal@one-line.com.

Signed in Washington D.C. on June 11, 2021

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Cory R. Cinque